NETCARE

Netcare Limited

Summarised Audited Group Results

for the year ended 30 September 2024

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Our purpose and promise

Our purpose

Providing **YOU** with the best and safest care

Our promise

We promise to care for you, and about you, in a manner that places you and your family at the centre of everything we do. We recognise that you are an individual with unique needs and expectations. We recognise the importance of your family and loved ones in your healing process. We are here to ensure that we provide you with the best and safest care, when you need it and in a way that we would wish for our loved ones.

Our values

Our core value is **CARE**. We care about the **DIGNITY** of our patients and all members of the Netcare family. We care about the **PARTICIPATION** of our people and our partners in everything that we do. We care about the **TRUTH** in all our actions. We engage everyone with empathy and respond with acts of **COMPASSION** in all interactions with our patients and their families.

Commentary

NETCARE LIMITED
(Registration number 1996/008242/06)
JSE ordinary share code: NTC
ISIN: ZAE000011953
JSE preference share code: NTCP
ISIN: ZAE000081121
A2X share code: NTC
("Netcare" or the "Group")

Results for the year ended 30 September 2024 and cash dividend declaration

To aid comparability, the commentary that follows excludes the impact of exceptional items unless otherwise indicated.

Salient features

- 6.3% increase in Group revenue to R25 202 million
- 10.1% growth in normalised Group EBITDA, demonstrating strong operating leverage
- 60 basis point improvement in normalised Group EBITDA margin to 18.0%
- 7.6% increase in adjusted HEPS to 113.7 cents
- 1.2 times net debt to EBITDA unchanged
- R1.6 billion returned to shareholders in dividends and share buybacks
- 7.7% increase in total dividends to 70.0 cents

Key financial results

Rm	**30 September 2024**	30 September 2023	% change
Revenue	**25 202**	23 699	6.3
Normalised EBITDA[1]	**4 530**	4 115	10.1
Normalised operating profit[1]	**3 198**	2 841	12.6
Normalised profit before taxation[1]	**2 177**	1 932	12.7
Normalised taxation[1]	**(602)**	(504)	(19.4)
Normalised profit after taxation[1]	**1 575**	1 428	10.3
Exceptional items:			
Impairment of properties	**(39)**	(125)	
Taxation on exceptional items	**11**	33	
Profit for the year	**1 547**	1 336	15.8
Normalised EBITDA margin[1] (%)	**18.0**	17.4	
Adjusted HEPS (cents)	**113.7**	105.7	7.6
ROIC (%)	**11.7**	10.8	

1. Normalised to exclude exceptional items comprising property impairments

Note:
The normalised information for the year ended 30 September 2024 has been presented on a consistent basis with the normalised financial information published for the year ended 30 September 2023.

Commentary continued

Overview

The Group reported a solid financial performance for FY 2024, successfully achieving key operational and strategic goals. Notwithstanding a challenging macroeconomic and competitive landscape, steady results were driven by resilient demand for private healthcare services. While seasonal inconsistencies affected volumes in H1 2024, activity levels normalised in H2 2024, resulting in a 0.3% growth in total paid patient days (PPD) across acute and mental health services for the full year.

Group revenue grew by 6.3% and an ongoing focus on operational efficiencies, aided by digitisation benefits, and lower strategic costs, resulted in excellent operating leverage reflected in the 12.6% growth in normalised operating profit.

In line with our capital allocation strategy of returning excess cash to shareholders, the Group executed a share buyback programme and a total of 60.4 million shares were acquired in the market at an average price of 1 193 cents per share and a total cost of R722 million. Since the commencement of the share buyback programme in September 2023, Netcare has bought back 84.8 million shares (5.9% of total ordinary shares in issue at 30 September 2023) at an average price of 1 227 cents per share.

Similarly, in line with our dividend policy, where we aim to provide shareholders with a sustainable dividend of 50% – 70% of earnings, Netcare's board of directors ("Board") has declared a final dividend of 40.0 cents per share. This, together with the interim dividend of 30.0 cents per share represents 61.6% of adjusted headline earnings per share ("HEPS") and an increase of 7.7% over FY 2023.

The Group's statement of financial position remains solid, with a net debt to EBITDA ratio of 1.2 times (FY 2023: 1.2 times), while strong cash generation resulted in a cash conversion ratio of 96.5%.

Globally, the delivery of healthcare is being redefined by new technologies and evolving patient and clinician needs. We are confident that our strategy of delivering person centred health and care which is digitally enabled and data driven positions the Group to benefit from this changing landscape. The Group will continue to focus on optimising and extracting greater value from the entire healthcare ecosystem, enhancing operational efficiencies, improving the patient experience, ensuring benefit for all stakeholders and generating attractive returns for shareholders.

Group financial overview

Netcare is encouraged by its steady financial performance, notwithstanding a challenging macro environment.

Group revenue for FY 2024 increased by 6.3% to R25 202 million (FY 2023: R23 699 million) and normalised Group EBITDA for FY 2024 improved by 10.1% to R4 530 million (FY 2023: R4 115 million).

Higher activity levels, digital efficiencies and reduced expenditure on certain strategic projects coming to an end resulted in a strong operating leverage, and an improvement in the Group EBITDA margin of 60 basis points to 18.0% from 17.4% in FY 2023.

In FY 2024, the Group incurred operational costs relating to strategic projects of R131 million (FY 2023: R258 million). EBITDA margins excluding strategic costs were flat year-on-year at 18.5%. Generator diesel costs declined from R124 million in FY 2023 to R47 million, mostly due to reduced load shedding during the year. EBITDA margins excluding both strategic and generator diesel costs declined slightly to 18.7% from 19.0%. This is due to the benefit of reduced diesel costs being largely offset by significant increases in electricity tariffs and, to a lesser extent, higher electricity utilisation from the national grid.

Normalised operating profit increased by 12.6% to R3 198 million (FY 2023: R2 841 million).

Net interest paid, excluding interest on lease liabilities, increased to R553 million (FY 2023: R466 million) reflecting the higher average cost of debt of 9.3% (FY 2023: 8.6%).

The contribution to earnings from associates and joint ventures increased from R40 million in FY 2023 to R51 million, primarily due to a stronger performance from a number of joint ventures.

Normalised profit before taxation increased by 12.7% to R2 177 million (FY 2023: R1 932 million). The normalised taxation charge amounted to R602 million (FY 2023: R504 million), reflecting an effective tax rate of 27.7% (FY 2023: 26.1%).

Exceptional items, net of taxation, amounted to R28 million (FY 2023: R92 million), comprising provisions for impairment of property assets.

Profit after tax and exceptional items increased by 15.8% to R1 547 million (FY 2023: R1 336 million) and adjusted HEPS increased by 7.6% to 113.7 cents (FY 2023: 105.7 cents).

Financial position

Rm	30 September 2024	30 September 2023
Assets		
Property, plant, equipment, goodwill and intangible assets	**16 333**	15 760
Right of use assets	**4 418**	4 073
Deferred tax assets	**668**	854
Other non-current assets	**590**	688
Current assets	**4 580**	4 149
Cash and cash equivalents	**1 802**	2 279
Total assets	**28 391**	27 803
Equity and liabilities		
Total shareholders' equity	**10 972**	11 041
Borrowings	**7 108**	7 307
Lease liabilities – long and short term	**5 541**	4 992
Deferred tax liabilities	**265**	254
Other liabilities	**4 505**	4 209
Total equity and liabilities	**28 391**	27 803

At 30 September 2024, total assets increased to R28 391 million from R27 803 million in the previous year.

In FY 2024, the Group paid R913 million in ordinary and preference dividends, alongside an allocation of R722 million towards share buybacks. The increase in treasury shares reduced total shareholders' equity, which declined to R10 972 million from R11 041 million.

The Group's return on invested capital improved to 11.7% (FY 2023: 10.8%).

Total capex, including strategic projects, amounted to R1.5 billion for the year, of which R100 million related to expansionary projects.

At 30 September 2024, the Group's cash resources and available undrawn committed facilities amounted to R2.9 billion. Group net debt (exclusive of IFRS 16 lease liabilities) increased marginally to R5.3 billion from R5.0 billion at 30 September 2023.

The increase in net debt during FY 2024 is due to ongoing capital expenditure, the payment of ordinary and preference dividends and share buybacks, partially offset by higher operating profit. The net debt to EBITDA ratio at 30 September 2024 was 1.2 times, in line with the ratio at 30 September 2023. EBITDA/net interest cover remains strong at 4.3 times (FY 2023: 4.5 times).

Cash generated from operations increased to R4 374 million (FY 2023: R4 135 million) with a cash conversion ratio of 96.5% (FY 2023: 100.5%).

Divisional review

Hospital and emergency services

Hospital and emergency services comprise acute and mental health hospitals, as well as emergency and ancillary services.

Rm	**30 September 2024**	30 September 2023	% change
Revenue	**24 506**	23 050	6.3
Normalised EBITDA[1]	**4 366**	3 947	10.6
Normalised operating profit[1]	**3 121**	2 759	13.1
Normalised EBITDA margin[1] (%)	**17.8**	17.1	
Normalised operating profit margin[1] (%)	**12.7**	12.0	
Total occupancy (%)	**64.9**	64.4	
Occupancy (full week) – acute hospital (%)	**64.3**	63.5	
Occupancy (weekday) – acute hospital (%)	**69.1**	68.3	
Occupancy (full week) – mental health (%)	**70.3**	72.7	
Percentage change in PPD:			
Total (%)	**0.3**		
Acute hospital (%)	**0.2**		
Mental health (%)	**1.3**		

1. Normalised to exclude exceptional items

Commentary continued

The Hospital and emergency services segment delivered a steady performance for FY 2024. Revenue for the segment increased by 6.3% to R24 506 million (FY 2023: R23 050 million) and total PPD increased by 0.3% to 2 455 840 days (FY 2023: 2 447 494 days).

Seasonal inconsistencies in H1 2024 led to a reduction of 1.7% in acute PPD at the half-year. Fortunately, from April 2024 onwards, volumes normalised resulting in growth of 0.4% over the 11 months to August 2024. However, with school holidays starting earlier, on 20 September 2024, activity slowed in the last two weeks of the financial year, negating some of the gains from previous months. As a result, acute PPD grew by 2.1% in H2 2024, resulting in 0.2% growth for the full year. In line with expectations, the timing impact experienced in September 2024 reversed in October 2024, with good growth recorded in the month.

Medical cases continue to grow at a faster rate than surgical cases, which remain impacted by sector trends of declining maternity cases and the outmigration of lower-margin day cases. Total surgical cases comprised 51.3% of PPD (FY 2023: 51.5%) and medical cases 48.7% (FY 2023: 48.5%). Notwithstanding these structural changes, surgical cases continue to contribute more than 70% of revenue.

Acute hospital revenue per PPD for FY 2024 increased by 6.0% compared to FY 2023.

The higher complexity of medical and surgical cases resulted in a 2.2% increase in average theatre time per case, a strong increase in ICU and High care PPD and an increased length of stay for FY 2024 to 4.5 days from 4.4 days in FY 2023.

In line with normalised volumes, full week occupancy within acute hospitals improved in H2 2024 with May 2024 recording an average occupancy of 70.7%, which is the highest level since the onset of the COVID-19 pandemic and was partially attributable to higher severity in flu cases. Occupancy was 64.4% for the 11 months to August 2024. Notwithstanding the softer occupancies in September 2024, occupancy for FY 2024 improved to 64.3% from 63.5% in FY 2023. Occupancy of 64.8% was achieved for the month of October 2024.

The rate of growth in mental health PPD for FY 2024 compared to the first half was diluted by the inclusion of the new Netcare Akeso Gqeberha facility in the base from May 2023. Demand for mental healthcare remains high, but the temporary unavailability of beds at certain high-occupancy sites for essential refurbishment work has constrained same-store capacity. In addition, PPD in September 2024 were impacted by the earlier school holidays, with many doctors taking leave. PPD growth for the 11 months to 31 August 2024 was 2.2%, with slightly lower growth of 1.3% for the full year at an occupancy of 70.3% (FY 2023: 72.7%).

Normalised EBITDA for the segment increased by 10.6% to R4 366 million from R3 947 million in FY 2023.

The EBITDA margin increased to 17.8% from 17.1% in FY 2023. Underlying EBITDA margin decreased slightly to 18.5% from 18.7% in FY 2023, when adjusted for strategic costs of R131 million (FY 2023: R253 million) and generator diesel costs of R45 million (FY 2023: R117 million).

The FY 2024 EBITDA margin within the Hospital and pharmacy operations sub-segment increased to 18.6% from 17.6% in FY 2023.

The Hospital and pharmacy operations sub-segment incurred strategic costs of R72 million (FY 2023: R189 million) and generator diesel costs of R42 million (FY 2023: R111 million). FY 2024 EBITDA margins improved slightly to 19.1% from 19.0% in FY 2023 when normalised for the strategic and generator diesel costs. The benefit of lower generator diesel costs was offset by higher electricity costs, while two extra public holidays during the year resulted in R39 million of additional salary costs.

The Group's geographic footprint, Electronic Medical Records ("EMR") offering, and highly accredited facilities allow it to continue attracting specialists and a net 113 doctors were granted admission rights at acute and mental health facilities during FY 2024, 66% of which are surgical specialists.

Primary care

Rm	30 September 2024	30 September 2023	% change
Revenue	**712**	663	7.4
Normalised EBITDA[1]	**164**	168	(2.4)
Normalised operating profit[1]	**77**	82	(6.1)
Normalised EBITDA margin[1] (%)	**23.0**	25.3	
Normalised operating profit margin[1] (%)	**10.8**	12.4	

1. Normalised to exclude exceptional items

The constrained consumer environment has encouraged more patients to self-medicate before assessing the need to visit their GP. This has resulted in a 3.1% decrease in total GP and dental visits for FY 2024 compared to FY 2023. However, the occupational health business continued its robust trajectory reported in H1 2024 with a strong performance which contributed to overall revenue growth for the division of 7.4% to R712 million from R663 million in FY 2023.

Lower activity levels and a higher proportion of lower margin occupational health contracts adversely impacted EBITDA, which declined by 1.2% against the underlying EBITDA of R166 million in FY 2023 (after normalising for a R2 million capital profit on the sale of a property). The underlying EBITDA margin for the full year declined to 23.0% from 25.0% in FY 2023.

Strategic update

Excellent progress has been made on the implementation of our key strategic projects and we are now well placed to benefit from the rapidly changing dynamics driving demand in the healthcare sector as we enter the operational phase of our strategy.

In FY 2024, the Group invested capital expenditure of R126 million (FY 2023: R163 million) and incurred operational costs of R131 million (FY 2023: R258 million) on various strategic projects aligned with our strategy.

Person centred health and care, digitally enabled and data driven

In 2018, the Group initiated a ten-year strategy to provide person centred health and care that is digitally enabled and data driven. Despite a challenging macroeconomic environment and the significant impact of the COVID-19 pandemic, we continued to invest in the future to transform the Netcare business and enhance the experiences of patients and clinicians, as well as shareholder returns. The first phase of this strategy entailed an ambitious digitisation project to implement EMR across the Group's entire ecosystem, spanning seven clinical delivery platforms (hospitals, primary care, mental health, emergency services, renal care, cancer care and occupational health).

In April 2024, we reached a significant milestone by completing the first phase of this ambitious initiative, becoming the first healthcare group in Africa with a fully integrated EMR system. In addition to the myriad of clinical and patient benefits, the project has an IRR in excess of 23% and has delivered gross cumulative cash savings and cost avoidance of R331 million since FY 2022, which exceeded expectations.

In June 2024, Netcare's pioneering efforts were globally recognised when we received the prestigious Digital Innovation Award at the International Quality Awards in London. Selected from 87 entries across 19 countries, this award highlights our use of cutting-edge digital solutions to enhance processes and deliver superior quality outcomes, further cementing our position as a leader in the healthcare industry.

The completion of the first phase marked an inflection point in the business which paves the way for the next two phases of our ten-year strategy to transform the way we deliver health and care.

Generating more than 46GB of clinical data per day, we have now commenced with the second phase of data driven clinical efficiency, which will be rolled out over the next two to three years. This phase will enable us to leverage data analytics to enhance patient safety, further improve quality of outcomes and provide care at the most appropriate cost. An analytics platform that gives clinical teams access to data and analytical tools is being implemented. Clinicians will also have access to Generative AI and Natural Language Processing tools to simplify the large-scale publication of clinical studies, positioning them as key contributors to clinical research and the maintenance of the highest standards of medicine and surgery in South Africa. Additionally, we are piloting machine learning and predictive analytics to facilitate the early identification of life-threatening events, enabling timely intervention and enhancing patient care and safety.

Alongside this, we are rolling out the third phase of person centred health and care over the next three to four years, by providing patients with their health records and engaging meaningfully on what really matters to them.

Strict compliance to POPIA and cyber security measures remain key areas of focus supported by a multipronged strategy.

We are confident that our strategy will entrench a sustainable competitive advantage and allow Netcare to substantially differentiate the patient experience, improve patient safety and clinical outcomes and make a notable scientific contribution to medicine and surgery in South Africa. In addition, it will position the Group to grow organically, harness efficiencies and capitalise on growth opportunities, ultimately enhancing returns for shareholders.

Akeso

We remain committed to expanding access to mental healthcare services and continue to explore new opportunities in this critical area. The construction of our Netcare Akeso Polokwane facility (87 beds) is progressing according to plan and is set to be commissioned in March 2026. In addition, given the growing demand for mental healthcare services in the broader Tshwane area, the Group will be commissioning the new Netcare Akeso Montana facility (88 beds) in June 2026. The Netcare Akeso Alberlito facility (77 beds), will be commissioned in March 2027.

Promoting access to healthcare

NetcarePlus has a portfolio of innovative healthcare products and funding solutions that promote access to affordable, quality healthcare in South Africa.

The Group is pleased with the ongoing growth in sales of NetcarePlus products across both the retail and corporate sectors, expanding access to private healthcare beyond traditional medical scheme lives and contributing to the Netcare ecosystem through the increased utilisation of our services. NetcarePlus GapCare products also enable Netcare to retain patients in networks where Netcare is not a designated service provider. NetcarePlus recently launched new products to the market which include EmployeeCare, an employee wellness programme powered by Lyra.

Netcare Diagnostics

Netcare Diagnostics, which supports a Black female owned pathology service provider, Dr Esihle Nomlomo Inc., continues to record growth in volumes of pathology tests conducted. To date we have commissioned 125 blood gas analysers at Netcare's ICU and High care units, and 103 point of care devices at 15 emergency departments. Additionally, the service has been rolled out at 25 Medicross facilities to date and will be extended to a further four emergency departments in FY 2025.

Environmental sustainability

Phase 2 of our environmental strategy commenced in 2023. This follows the successful implementation of the first phase, which commenced in 2013, where the energy intensity per bed was reduced by 39%, achieving cumulative operational savings and cost avoidance benefits of more than R1.5 billion to date, while yielding an IRR of 40%.

The Group is firmly on track with its Phase 2 goals and 2030 environmental sustainability strategy. These are focused on reducing Scope 2 emissions to zero by 2030 by ensuring 100% utilisation requirements from renewable sources, reducing Scope 1 and 2 emissions by a combined 84% and placing a large focus on our waste, water and backup energy (generator) sources. Specifically, Netcare aims to achieve zero waste to landfill and a further 20% reduction in our fresh water utilisation (16.8% already achieved since 2020). A key milestone was achieved in September 2024, when the wind power renewable energy wheeling agreement signed with NOA in November 2023, reached unconditional status for five of the six sites included in Phase 1 of the 100% Renewable Energy by 2030 initiative, ensuring that these locations will receive up to 100% wind power by September 2026.

Our 2030 strategy will entrench our leadership position in healthcare sustainability while driving further financial savings from relatively small capex requirements, thereby moving the business closer to our 2050 'net zero' target. Our strategy is aligned with the Just Energy Transition Investment Plan and the 1.5-degree pathway specified by the COP21 Paris Accord and has been submitted to the Science Based Target Initiative for validation.

For FY 2025, we have allocated approximately R86 million in environmental sustainability capex and R14 million in operational costs towards achieving the targets set for 2030.

NHI

Netcare has long recognised the need to address the deficiencies and inequities in healthcare access and delivery in South Africa and remains fully committed to achieving Universal Health Coverage. However, there are genuine concerns regarding the feasibility and legality of the National Health Insurance ("NHI") Act. The Hospital Association of South Africa ("HASA") presented a proposal for enhanced healthcare access and delivery through a proven and phased solution of mandatory medical cover for the formally employed, and greater private-public collaboration to ensure system strengthening, along with joint efforts on human resource training initiatives. There are several immediate opportunities where the private sector can collaborate with government to address critical healthcare gaps and demonstrate quick wins on the path to Universal Health Coverage. The HASA proposal would alleviate pressure on public health resources and extend the public budget per capita, thereby improving healthcare access for all South Africans.

Netcare is encouraged by government's recent engagement with the private sector to discuss matters related to the NHI Act. The President requested Business Unity South Africa ("BUSA") to submit specific proposals on solutions or issues of concern as a basis for further engagement. We believe a collaborative partnership between the public and private sector is critical in finding sustainable and affordable solutions aimed at achieving universal healthcare for all South Africans.

Outlook and guidance

We are encouraged by the positive sentiment surrounding the formation of a Government of National Unity and the progress made on critical structural reforms. Key indicators such as a significant reduction in energy load shedding, declining inflation, and the recent interest rate cuts provide a more favourable outlook for consumers and signal improvements in both the economic and operating environment.

While we maintain a cautiously optimistic view on the trajectory of these macroeconomic improvements, we recognise that it may take time for these factors to translate into substantial growth in medically insured lives. In the short term, consumer preferences continue to favour more affordable restricted network plans. Our expansive geographic footprint, combined with our NetcarePlus GapCare products, position us to

maintain a stable share of patients within these networks and the Group remains focused on enhancing operational efficiencies to offset the impact of lower tariffs associated with these contracts.

Furthermore, although medical scheme membership growth has been limited, the pool of covered lives remains resilient, reflecting sustained demand for quality private healthcare. This demand is further supported by the increasing disease burden and the ageing insured population, underscoring the long-term sustainability of the sector.

We expect ongoing improvements in the operational and financial performance of the business in FY 2025 and beyond. Following the earlier school holidays in September 2024, hospital activity normalised in October and November 2024 and acute occupancy is currently trending at 64.7%. Similarly, Akeso occupancy is currently trending at 70.6%.

For FY 2025, the Group expects revenue growth of between 5.0% and 6.0%. Total PPD are expected to grow by between 0.8% and 1.3%.

The Group will continue to focus on operational efficiency and strategic innovation, streamlining processes to reduce costs, and investing in technology that enhances patient care and service delivery. Costs of R60 million will be incurred in FY 2025 for environmental sustainability and NetcarePlus, which are critical enablers of our strategy.

The increased activity and operational efficiencies are expected to support further EBITDA margin expansion, improved earnings and higher ROIC.

Total capital expenditure for FY 2025 is estimated at R1.5 billion.

We will continue to maintain an optimal capital structure, and the strength of the statement of financial position and the ongoing improvement in operational performance of the underlying businesses will continue to support dividend payments in line with our dividend policy, where we seek to return between 50% – 70% of adjusted headline earnings to shareholders. Additionally, the Group will continue to consider share buybacks in our capital efficiency programme.

The forecast financial information above has not been reviewed or reported on by the company's external auditors.

Changes to the Board

Netcare shareholders were previously advised that Mr Mark Bower retired as Netcare's chairperson, effective 30 September 2024. Mr Bower joined the Netcare Board as an independent non-executive director in November 2015 and was appointed chairperson effective 1 January 2023.

Mr Alex Maditse was appointed as the lead independent director effective 30 July 2024. Mr Maditse joined the Netcare Board in June 2023. Netcare is confident in his ability to effectively lead the Board during this interim period.

Executive leadership changes

The following executive management changes have been implemented, which are all aligned with the Group's internal succession plan:

- Dr Erich Bock has been appointed managing director of the Hospital Division, effective 1 October 2024, succeeding Mr Jacques du Plessis, who resigned effective 30 June 2024;
- Ms Mary Ann Nabbie has been promoted to the Group director of nursing, effective 1 September 2024, and will assume the role from Dr Shannon Nell, who will retire in early 2025;
- Ms Sara Nayager will assume the role of managing director of the Primary Care Division, effective 1 January 2025, following the retirement of Dr Billyy van der Merwe in December 2024; and
- Ms Vuyokazi Maleki has been named deputy managing director of the Netcare Akeso Division, effective 1 November 2024. She will succeed Ms Melanie Da Costa as the managing director of Akeso. Given the importance of NHI, Ms Da Costa will increase her focus on the Group's strategy and health policy portfolio, and will retain leadership of funder relations.

Given the recent changes to the Netcare Board, coupled with the ongoing transition in executive leadership, the recent launch of the final two phases of the Group's strategy, as well as the evolving NHI deliberations, the Board has requested Dr Friedland to extend his tenure as CEO to allow for a smooth transition and handover.

This decision reflects the Board's commitment to manage the executive changes carefully and Dr Friedland's leadership will ensure continued momentum on these critical initiatives while maintaining stability during this pivotal period for the Group.

As previously communicated, the Board has identified a preferred external candidate to succeed Dr Friedland as Group CEO. Further communication in this regard will follow in due course.

Acknowledgement

These results were made possible by our resilient and dedicated employees and we continue to place their growth, development, and wellbeing at the epicenter of our strategy.

We express our sincere thanks and appreciation to our staff and clinicians for their unwavering commitment and dedication in supporting our core purpose of delivering the best and safest care and enabling us to achieve Netcare's strategic and operational goals.

Dividend

Declaration of dividend number 28

Notice is hereby given of the declaration of a gross final dividend of 40.0 cents per ordinary share in respect of the year ended 30 September 2024. The dividend has been declared from income reserves and is payable to shareholders recorded in the register at the close of business on Friday, 24 January 2025. The number of ordinary shares (inclusive of treasury shares) in issue at the date of this declaration is 1 417 549 301. The dividend will be subject to a local dividend withholding tax at a rate of 20%, which will result in a net final dividend to those shareholders not exempt from paying dividend withholding tax of 32.0 cents per ordinary share and 40.0 cents per ordinary share for those shareholders who are exempt from dividend withholding tax.

The Board has confirmed by resolution that the solvency and liquidity test as contemplated by the Companies Act 71 of 2008 (as amended) has been duly considered, applied and satisfied.

The salient dates applicable to the dividends are as follows:

Last day to trade cum dividend	Tuesday, 21 January 2025
Trading ex-dividend commences	Wednesday, 22 January 2025
Record date	Friday, 24 January 2025
Payment date	Monday, 27 January 2025

Share certificates may not be dematerialised nor rematerialised between Wednesday, 22 January 2025 and Friday, 24 January 2025, both dates inclusive.

On Monday, 27 January 2025, the dividends will be electronically transferred to the bank accounts of all certificated shareholders. Holders of dematerialised shares will have their accounts credited at their participant or broker on Monday, 27 January 2025.

Netcare Limited's tax reference number is 9999/581/71/4.

The normalised information contained in this announcement is the responsibility of the directors of Netcare, has been prepared for illustrative purposes only and, because of its nature, may not fairly present Netcare's financial position, changes in equity, results of operations or cash flows.

21 November 2024

Sponsor

Nedbank Corporate and Investment Banking, a division of Nedbank Limited

Independent auditor's report on summarised financial statements

To the shareholders of Netcare Limited

Opinion

The summarised consolidated financial statements of Netcare Limited, which comprise the summarised consolidated statement of financial position as at 30 September 2024, the summarised consolidated statements of profit and loss, comprehensive income, changes in equity and cash flows for the year then ended, and related notes, are derived from the audited consolidated financial statements of Netcare Limited for the year ended 30 September 2024.

In our opinion, the summarised consolidated financial statements included on pages 12 to 29 are consistent, in all material respects, with the audited consolidated financial statements of Netcare Limited, in accordance with the requirements of the JSE Limited Listings Requirements for summary financial statements, set out in note 1 to the summarised consolidated financial statements, and the requirements of the Companies Act of South Africa as applicable to summary financial statements.

Other matters

We have not audited future financial performance and expectations by management included in the accompanying summarised consolidated financial statements and accordingly do not express any opinion thereon.

Summarised consolidated Financial Statements

The summarised consolidated financial statements do not contain all the disclosures required by the IFRS Accounting Standards as issued by the International Accounting Standards Board and the requirements of the Companies Act of South Africa as applicable to annual financial statements. Reading the summarised consolidated financial statements and the auditor's report thereon, therefore, is not a substitute for reading the audited consolidated financial statements of Netcare Limited and the auditor's report thereon.

The Audited consolidated Financial Statements and Our Report Thereon

We expressed an unmodified audit opinion on the audited consolidated financial statements in our report dated 22 November 2024. No key audit matters were reported in the auditor's report of the audited financial statements.

Directors' Responsibility for the Summarised Consolidated Financial Statements

The directors are responsible for the preparation of the summarised consolidated financial statements in accordance with the requirements of the JSE Limited Listings Requirements for summary financial statements, set out in note 1 to the summarised consolidated financial statements, and the requirements of the Companies Act of South Africa as applicable to summary financial statements.

The Listings Requirements require summary financial statements to be prepared in accordance with the framework concepts and the measurement and recognition requirements of IFRS Accounting Standards as issued by the International Accounting Standards Board, the SAICA Financial Reporting Guides as issued by the Accounting Practices Committee and Financial Pronouncements as issued by the Financial Reporting Standards Council, and also contain the information required by IAS 34, *Interim Financial Reporting*.

Auditor's Responsibility

Our responsibility is to express an opinion on whether the summarised consolidated financial statements are consistent, in all material respects, with the consolidated audited financial statements based on our procedures, which were conducted in accordance with International Standard on Auditing (ISA) 810 (Revised), Engagements to Report on Summary Financial Statements.

DocuSigned by:
Deloitte & Touche
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Deloitte & Touche
Registered Auditor
Per: Spiro Tyranes
Partner
22 November 2024

5 Magwa Crescent
Waterfall City
Waterfall
2090

Summarised Group statement of profit or loss

for the year ended 30 September

Rm	Notes	2024	2023
Revenue[1]		**25 202**	23 699
Cost of sales		**(12 746)**	(11 937)
Gross profit		**12 456**	11 762
Other income		**546**	466
Administrative and other expenses		**(9 638)**	(9 371)
Impairment of financial assets		**(205)**	(141)
Operating profit	2	**3 159**	2 716
Investment income		**205**	144
Finance costs	3	**(1 269)**	(1 064)
Other financial (losses)/ gains – net		**(8)**	2
Attributable (losses)/earnings of associates		**(4)**	2
Attributable earnings of joint ventures		**55**	38
Impairment of long-term interests and investment in associates		**—**	(31)
Profit before taxation		**2 138**	1 807
Taxation	4	**(591)**	(471)
Profit for the year		**1 547**	1 336
Attributable to:			
Owners of the parent		**1 436**	1 271
Preference shareholders		**63**	50
		1 499	1 321
Non-controlling interests		**48**	15
		1 547	1 336
Cents			
Basic earnings per share		**110.4**	94.5
Diluted earnings per share		**108.9**	93.5

1. *Refer to segment report on page 20 for detail on the disaggregation of revenue*

Summarised Group statement of comprehensive income

for the year ended 30 September

Rm	2024	2023
Profit for the year	**1 547**	1 336
Items that will not subsequently be reclassified to profit or loss	**—**	53
Remeasurement of post-employment benefit obligation	**—**	72
Taxation on items that will not subsequently be reclassified to profit or loss	**—**	(19)
Items that may subsequently be reclassified to profit or loss	**(33)**	(6)
Effect of cash flow hedge accounting	**(45)**	(8)
Amortisation of cash flow hedge accounting reserve	**(27)**	(27)
Change in fair value of cash flow hedges	**(18)**	19
Taxation on items that may subsequently be reclassified to profit or loss	**12**	2
Other comprehensive income for the year	**(33)**	47
Total comprehensive income for the year	**1 514**	1 383
Attributable to:		
Owners of the parent	**1 403**	1 318
Preference shareholders	**63**	50
Non-controlling interests	**48**	15
	1 514	1 383

Summarised Group statement of financial position

at 30 September

Rm	Notes	2024	2023
ASSETS			
Non-current assets			
Property, plant and equipment		**14 413**	13 887
Right of use assets		**4 418**	4 073
Goodwill		**1 606**	1 606
Intangible assets		**314**	267
Equity-accounted investments, loans and receivables	5	**544**	606
Financial assets	6	**26**	63
Deferred lease assets		**20**	19
Deferred taxation		**668**	854
Total non-current assets		**22 009**	21 375
Current assets			
Loans and receivables	5	**22**	27
Financial assets	6	**17**	15
Inventories		**550**	556
Trade and other receivables		**3 940**	3 542
Taxation receivable		**51**	9
Cash and cash equivalents		**1 802**	2 279
Total current assets		**6 382**	6 428
Total assets		**28 391**	27 803
EQUITY AND LIABILITIES			
Capital and reserves			
Ordinary share capital		**4 233**	4 297
Treasury shares		**(4 306)**	(3 926)
Other reserves		**563**	526
Retained earnings		**9 799**	9 479
Equity attributable to owners of the parent		**10 289**	10 376
Preference share capital and premium		**644**	644
Non-controlling interests		**39**	21
Total shareholders' equity		**10 972**	11 041
Non-current liabilities			
Long-term debt	7	**5 505**	6 057
Long-term lease liabilities		**4 810**	4 334
Financial liabilities	6	**15**	—
Post-employment healthcare benefit obligations		**526**	495
Deferred taxation		**265**	254
Provisions		**35**	19
Total non-current liabilities		**11 156**	11 159
Current liabilities			
Trade and other payables		**3 786**	3 657
Short-term debt	7	**1 603**	1 249
Short-term lease liabilities		**731**	658
Financial liabilities	6	**14**	12
Taxation payable		**129**	26
Bank overdrafts		**—**	1
Total current liabilities		**6 263**	5 603
Total equity and liabilities		**28 391**	27 803

Summarised Group statement of cash flows

for the year ended 30 September

Rm	2024	2023
Cash flows from operating activities		
Cash received from customers	**24 689**	23 338
Cash paid to suppliers and employees	**(20 315)**	(19 203)
Cash generated from operations	**4 374**	4 135
Interest paid on debt	**(679)**	(516)
Interest paid on lease liabilities	**(511)**	(454)
Taxation paid	**(345)**	(374)
Ordinary dividends paid by subsidiaries	**(50)**	(47)
Ordinary dividends paid	**(850)**	(808)
Preference dividends paid	**(63)**	(50)
Distribution paid to beneficiaries of the HPFL B-BBEE[1] trusts	**(7)**	(6)
Net cash from operating activities	**1 869**	1 880
Cash flows from investing activities		
Advances from/(to) associates	**27**	(25)
Advances from/(to) joint ventures	**58**	(20)
Payments for acquisition of property, plant and equipment[2]	**(1 463)**	(1 443)
Payments for additions to intangible assets	**(56)**	(64)
Proceeds on disposal of property, plant and equipment and intangible assets	**40**	101
Repayments from/(payments to) investments and loans	**7**	(45)
Interest received	**205**	144
Dividends received	**28**	46
Net cash from investing activities	**(1 154)**	(1 306)
Cash flows from financing activities		
Proceeds on disposal of treasury shares	**—**	49
Acquisition of treasury shares	**(722)**	(510)
Debt raised	**2 600**	2 080
Debt repaid	**(2 814)**	(1 174)
Payments for equity interests in subsidiaries	**—**	(8)
Payment for acquisition of non-controlling interests	**—**	(2)
Proceeds from disposal/issue of shares to non-controlling interests	**3**	—
Payment of principal elements of lease liabilities	**(258)**	(226)
Net cash from financing activities	**(1 191)**	209
Net (decrease)/increase in cash and cash equivalents	**(476)**	783
Cash and cash equivalents at the beginning of the year	**2 278**	1 495
Cash and cash equivalents at the end of the year	**1 802**	2 278
Consisting of		
Cash on hand and balances with banks	**1 802**	2 279
Bank overdrafts	**—**	(1)
	1 802	2 278

1. *Health Partners for Life Broad-based Black Economic Empowerment*
2. *Included in payments for acquisition of property, plant and equipment is R25 million of capitalised borrowing costs*

Summarised Group statement of changes in equity

for the year ended 30 September

Rm	Ordinary share capital	Treasury shares	Cash flow hedge accounting reserve
Balance at 1 October 2022	4 297	(3 504)	31
Sale of treasury shares	—	78	—
Transfer[1]	—	10	—
Purchase of treasury shares	—	(510)	—
Share-based payment reserve movements	—	—	—
Preference dividends paid	—	—	—
Ordinary dividends paid	—	—	—
Reserve movements – other	—	—	—
Distributions to beneficiaries of the HPFL B-BBEE[2] trusts	—	—	—
Tax recognised in equity	—	—	—
Changes in equity interests in subsidiaries	—	—	—
Total comprehensive income for the year	—	—	(6)
Profit for the year	—	—	—
Other comprehensive income	—	—	(6)
Balance at 1 October 2023	**4 297**	**(3 926)**	**25**
Shares cancelled during the year	**(64)**	**282**	**—**
Transfer[1]	**—**	**60**	**—**
Purchase of treasury shares[3]	**—**	**(722)**	**—**
Capital gains tax attributable to the sale of treasury shares	**—**	**—**	**—**
Share-based payment reserve movements	**—**	**—**	**—**
Preference dividends paid	**—**	**—**	**—**
Ordinary dividends paid	**—**	**—**	**—**
Dividends withholdings tax	**—**	**—**	**—**
Reserve movements – other	**—**	**—**	**—**
Distributions to beneficiaries of the HPFL B-BBEE[2] trusts	**—**	**—**	**—**
Changes in equity interests in subsidiaries	**—**	**—**	**—**
Total comprehensive income for the year	**—**	**—**	**(33)**
Profit for the year	**—**	**—**	**—**
Other comprehensive income	**—**	**—**	**(33)**
Balance at 30 September 2024	**4 233**	**(4 306)**	**(8)**

1. *Transfer of treasury shares and share-based payment reserve in respect of vested shares*
2. *Health Partners for Life Broad-based Black Economic Empowerment*
3. *During the current financial year 60 334 578 treasury shares were acquired by a subsidiary at an average price of R11.93 per share*

Share-based payment reserve	Retained earnings	Equity attributable to owners of the parent	Preference share capital and premium	Non-controlling interests	Total share-holders' equity
442	8 980	10 246	644	54	10 944
—	(29)	49	—	—	49
(39)	29	—	—	—	—
—	—	(510)	—	—	(510)
98	—	98	—	—	98
—	—	—	(50)	—	(50)
—	(808)	(808)	—	(47)	(855)
—	(8)	(8)	—	—	(8)
—	(6)	(6)	—	—	(6)
—	(3)	(3)	—	—	(3)
—	—	—	—	(1)	(1)
—	1 324	1 318	50	15	1 383
—	1 271	1 271	50	15	1 336
	53	47	—	—	47
501	**9 479**	**10 376**	**644**	**21**	**11 041**
—	**(218)**	**—**	**—**	**—**	**—**
(60)	**—**	**—**	**—**	**—**	**—**
—	**—**	**(722)**	**—**	**—**	**(722)**
—	**(10)**	**(10)**	**—**	**—**	**(10)**
130	**(1)**	**129**	**—**	**—**	**129**
—	**—**	**—**	**(63)**	**—**	**(63)**
—	**(850)**	**(850)**	**—**	**(50)**	**(900)**
—	**(14)**	**(14)**	**—**	**—**	**(14)**
—	**(16)**	**(16)**	**—**	**—**	**(16)**
—	**(7)**	**(7)**	**—**	**—**	**(7)**
—	**—**	**—**	**—**	**20**	**20**
—	**1 436**	**1 403**	**63**	**48**	**1 514**
—	**1 436**	**1 436**	**63**	**48**	**1 547**
—	**—**	**(33)**	**—**	**—**	**(33)**
571	**9 799**	**10 289**	**644**	**39**	**10 972**

Headline earnings

for the year ended 30 September

Rm	2024	2023
Reconciliation of headline earnings		
Profit for the year	**1 547**	1 336
Adjusted for:		
Dividends paid on shares attributable to the Single Incentive Plan and HPFL B-BBEE[1] Trust units	**(24)**	(14)
Preference shareholders	**(63)**	(50)
Non-controlling interest	**(48)**	(15)
Profit for the purposes of basic and diluted earnings per share	**1 412**	1 257
Adjusted for:		
Profit on disposal of property, plant and equipment and intangible assets	**(13)**	(23)
Loss on disposal of property, plant and equipment and intangible assets	**13**	9
Recognition of net impairment of property, plant and equipment in operating profit	**38**	130
Recognition of impairment of investment in associate	**—**	2
Tax effect of headline adjusting items	**(5)**	(32)
Headline earnings	**1 445**	1 343

1. *Health Partners for Life Broad-based Black Economic Empowerment*

Headline earnings continued

for the year ended 30 September

Rm	2024	2023
Adjusted headline earnings		
Headline earnings	**1 445**	1 343
Adjusted for:		
Amortisation of cash flow hedge accounting reserve	**—**	3
Modification loss	**—**	7
Impairment of financial assets	**—**	27
De-designation of portion of hedging instrument	**—**	(2)
Impairment of short-term associate loans	**3**	31
Fair value loss on derivative financial instruments	**4**	—
Ineffectiveness losses on cash flow hedges	**4**	—
Net reversal impairment of short-term joint venture loans	**(1)**	—
Tax effect of headline adjusting items	**(1)**	(3)
Adjusted headline earnings	**1 454**	1 406
Cents		
Headline earnings per share	**113.0**	101.0
Diluted headline earnings per share	**111.4**	99.9
Adjusted headline earnings per share	**113.7**	105.7
Diluted adjusted headline earnings per share	**112.0**	104.5

Adjusted headline earnings per share is an alternative non-IFRS measurement used by the chief operating decision maker as a key measure of sustainable earnings from trading operations and used in setting the divided to be paid to shareholders. The calculation of adjusted headline earning per share excludes non-trading and/or non-recurring items, and is based on the adjusted profit attributable to ordinary shareholders, divided by the weighted average number of ordinary shares in issue during the year. Non-IFRS measures are not defined by IFRS Accounting Standards nor a JSE Listing Requirement, and may not be uniformly defined by others resulting in non-comparability directly to similarly labelled measures and disclosures.

Adjusted headline earnings represent headline earnings which have been adjusted for specific items of a non-trading and/or non-recurring nature, including:

- Gains or losses on financial instruments;
- Impairments and reversal of impairments on loans;
- Acquisition costs;
- Regulatory inquiry costs;
- Onerous lease provisions;
- Significant restructuring costs;
- New business development costs;
- Realisation of reserves through profit or loss;
- B-BBEE transaction costs;
- Changes in tax rates;
- Other non-trading items; and
- Other non-recurring items.

Summarised segment report

for the year ended 30 September

Hospital and emergency services

This segment is further disaggregated into Hospital and pharmacy operations, covering our private acute hospital network and day clinics, and non-acute services. The non-acute services include the provision of emergency services, the operation of private mental health clinics, cancer care, diagnostics services and the sale of healthcare products and vouchers.

Primary Care

This segment offers comprehensive primary healthcare services, employee health and wellness services, and administrative services to medical and dental practices.

Rm	Hospital and pharmacy operations	Non-acute services	Hospital and emergency services	Primary Care	Inter-segment elimination[1]	Total
30 September 2024						
Statement of profit or loss						
Revenue	22 807	1 699	24 506	712	(16)	25 202
EBITDA[2]	4 228	115	4 343	148	—	4 491
Depreciation and amortisation	(1 067)	(178)	(1 245)	(87)	—	(1 332)
Operating profit/(loss)	3 161	(63)	3 098	61	—	3 159
Additional segment information						
Cost of sales (excluding direct payroll)[3]	(6 419)	(330)	(6 749)	(70)	16	(6 803)
Direct payroll[3]	(5 136)	(641)	(5 777)	(166)	—	(5 943)
Property rental received[3]	394	19	413	22	—	435
Indirect payroll (including executive directors)[3]	(3 366)	(225)	(3 591)	(180)	—	(3 771)
Net impairment of property, plant and equipment	(16)	(6)	(22)	(16)	—	(38)

1. *Relates to revenue earned in the Hospital and emergency services segment*
2. *Earnings before interest, tax, depreciation and amortisation*
3. *Based on the current year assessment, additional disclosure has been added in the segment report. The comparative amounts have been updated*

Summarised segment report continued

for the year ended 30 September

Rm	Hospital and pharmacy operations	Non-acute services	Hospital and emergency services	Primary Care	Inter-segment elimination[1]	Total
30 September 2023						
Statement of profit or loss						
Revenue	21 472	1 578	23 050	663	(14)	23 699
EBITDA[2]	3 661	168	3 829	161	—	3 990
Depreciation and amortisation	(1 046)	(142)	(1 188)	(86)	—	(1 274)
Operating profit	2 615	26	2 641	75	—	2 716
Additional segment information						
Cost of sales (excluding direct payroll)[3]	(6 090)	(269)	(6 359)	(65)	14	(6 410)
Direct payroll[3]	(4 874)	(505)	(5 379)	(148)	—	(5 527)
Property rental received[3]	372	18	390	21	—	411
Indirect payroll (including executive directors)[3]	(3 299)	(243)	(3 542)	(171)	—	(3 713)
Impairment of property, plant and equipment	(118)	(5)	(123)	(7)	—	(130)

1. *Relates to revenue earned in the Hospital and emergency services segment*
2. *Earnings before interest, tax, depreciation and amortisation*
3. *Based on the current year assessment, additional disclosure has been added in the segment report. The comparative amounts have been updated*

Notes to the summarised Group financial statements

for the year ended 30 September

1. Basis of preparation and accounting policies

The summarised consolidated financial statements have been prepared in accordance with the framework concepts, recognition and measurement criteria of IFRS® Accounting Standards as issued by the International Accounting Standards Board (IASB®) in issue and effective for the Group at 30 September 2024, the SAICA Financial Reporting Guides as issued by the Accounting Practices Committee and Financial Reporting Pronouncements as issued by the Financial Reporting Standards Council. The results contain the information as required by IAS 34: *Interim financial information* and comply with the JSE Listings Requirements and the Companies Act. These summarised consolidated financial statements, and the audited consolidated financial statements from which they have been derived, were compiled under the supervision of Mr KN Gibson (CA) SA, Group Chief Financial Officer.

The accounting policies and methods of computation applied in the preparation of these results are in accordance with IFRS Accounting Standards. All policies are consistent in all material respects with those applied in the audited consolidated financial statements for the year ended 30 September 2023.

Audit opinion

The external auditor, Deloitte & Touche, has issued their opinion on the Group's consolidated financial statements for the year ended 30 September 2024. The audit was conducted in accordance with International Standards on Auditing. The auditor responsible for the audit is Mr S Tyranes. The annual financial statements were audited by Deloitte & Touche, who expressed an unmodified opinion on the audited consolidated financial statements.

A copy of the audit report, together with the accompanying consolidated financial statements is available for inspection at the Company's registered office with the head of investor relations **(ir@netcare.co.za)** as well as online at **www.netcare.co.za/Netcare-Investor-Relations/Reports/Financial-Results.** Any reference to future financial performance included in this announcement has not been audited and reported on by the Group's external auditor.

The directors take full responsibility for the preparation of the summarised consolidated financial statements which have been extracted from and are consistent in all material respects with the Group's consolidated financial statements.

Notes to the summarised Group financial statements continued

for the year ended 30 September

	Rm	2024	2023
2.	**Operating profit**	**3 159**	2 716
	After including:		
	Cost of sales	**(12 746)**	(11 937)
	Cost of goods sold	**(6 708)**	(6 325)
	Settlement and volume discounts	**78**	78
	Direct payroll	**(5 943)**	(5 527)
	Other	**(173)**	(163)
	Depreciation and amortisation	**(1 332)**	(1 274)
	Depreciation and amortisation of property, plant and equipment and intangible assets	**(868)**	(844)
	Depreciation of right of use assets	**(464)**	(428)
	Amortisation of cash flow hedge accounting reserve	**—**	(2)
	Net impairment of property, plant and equipment	**(38)**	(130)
	Employee costs (excluding direct payroll)	**(3 771)**	(3 713)
	Impairment of financial assets	**(205)**	(141)
	Movements in expected credit losses related to trade and other receivables	**(205)**	(114)
	Impairment of loans	**—**	(27)
	Operating lease charges	**(145)**	(173)
	Net profit on disposal of property, plant and equipment	**—**	14

Operating profit is defined as the profit generated from the core business activities of the Group. Operating profit is derived after general and administrative expenses, including impairment of financial assets, have been deducted from gross profit and other income. Operating profit excludes investment income, and is stated before finance costs and before other net financial gains/losses are added/deducted. Due to their nature, these items are not classified as being part of the core operating activities of the Group.

Operating profit only includes profit from entities which are controlled by the Group in accordance with IFRS 10: *Consolidated Financial Statements*, and excludes amounts from entities where we share control or have significant influence. The Group, therefore, excludes from operating profit, income and expense items relating to associates and joint ventures, such as its share of earnings/losses of associates and joint ventures, impairments of investments in associates and joint ventures, profit/loss on disposal of investments in associates and joint ventures, and impairments of long-term interest in associates and joint ventures.

Revenue, income or expense items that would otherwise be presented within gross profit or operating profit, are separately disclosed and appropriately described when, by virtue of their nature or amount, they require separate disclosure on the statement of profit or loss.

Notes to the summarised Group financial statements continued

for the year ended 30 September

	Rm	2024	2023
3.	**Finance costs**		
	Interest on bank loans and other	**(189)**	(91)
	Interest expense on lease liabilities	**(511)**	(454)
	Interest on promissory notes	**(506)**	(456)
	Total funding finance costs	**(1 206)**	(1 001)
	Amortisation of cash flow hedge accounting reserve	**—**	(1)
	Post-employment benefit plan finance costs	**(63)**	(62)
		(1 269)	(1 064)

	Rm	2024	2023
4.	**Taxation**		
	South African normal and deferred taxation		
	Current year	**(582)**	(498)
	Prior years	**(5)**	33
	Capital gains tax	**—**	(2)
		(587)	(467)
	Foreign normal and deferred taxation		
	Current year	**(4)**	(2)
	Prior years	**—**	(2)
	Total taxation per the statement of profit or loss	**(591)**	(471)

Notes to the summarised Group financial statements continued

for the year ended 30 September

Rm	2024	2023
5. Equity-accounted investments, loans and receivables		
Non-current		
Associated companies	**157**	166
Joint ventures	**258**	217
Loans and receivables	**129**	223
	544	606
Current		
Loans and receivables	**22**	27
Total equity-accounted investments, loans and receivables	**566**	633

Rm	Level	2024	2023
6. Financial assets/liabilities			
Derivative financial assets			
Interest rate swaps	**2**	**2**	35
Non-derivative financial assets			
Investment in Cell Captive	**2**	**3**	5
Investment in equity instruments[1]	**3**	**38**	38
		43	78
Included in:			
Non-current assets		**26**	63
Current assets		**17**	15
		43	78
Derivative financial liabilities			
Interest rate swaps	**2**	**16**	—
Written put option over non-controlling interest	**3**	**13**	12
		29	12
Included in:			
Non-current liabilities		**15**	—
Current liabilities		**14**	12
		29	12

1. The Group designates investments in equity instruments held at fair value through other comprehensive income

Investment in equity instruments

The valuations are based on the estimated liquidation values determined for the net assets on the balance sheet of each entity. The main objective of these entities is the investment in start-up businesses. Given the difficulty in obtaining reliable forward-looking cash flow forecasts for new businesses of this nature, it is challenging to determine a reliable fair value for the underlying investments, and therefore a liquidation basis approach to the valuation has been adopted.

Notes to the summarised Group financial statements continued

for the year ended 30 September

6. Financial assets/liabilities continued

Written put option over non-controlling interest

The fair value of the put option is based on the following formula: annual rent of the entity in which shares will be purchased when the option is exercised, divided by 10% yield (before tax) divided by 100 to derive the value per percentage shareholding. As at 30 September 2024 the annual rental was obtained from the entity and the fair value of the put option was calculated using the formula above. The fair value of the put option is therefore directly impacted by fluctuations in the annual rent of the entity.

	2024			2023		
Rm	**Interest rate swaps**	**Inflation rate swaps**	**Total**	Interest rate swaps	Inflation rate swaps	Total
Recognised in profit or loss						
De-designation of portion of hedging instrument[1]	**—**	**—**	**—**	2	—	2
Hedge ineffectiveness[1]	**(4)**	**—**	**(4)**	—	—	—
Reclassification into profit or loss[2]	**27**	**—**	**27**	30	(3)	27
	23	**—**	**23**	32	(3)	29
Recognised in other comprehensive income						
Fair value movements	**(18)**	**—**	**(18)**	19	—	19
Reclassification into profit or loss	**(27)**	**—**	**(27)**	(30)	3	(27)
	(45)	**—**	**(45)**	(11)	3	(8)
Cash flow hedge reserve						
Gross	**(11)**	**—**	**(11)**	34	—	34
Deferred tax	**3**	**—**	**3**	(9)	—	(9)
Net	**(8)**	**—**	**(8)**	25	—	25

1. Amounts included in other financial gains – net in the statement of profit or loss
2 Amounts included in interest and depreciation

Fair value hierarchy

Financial instruments measured at fair value are grouped into the following levels based on the significance of the inputs used in determining fair value:

Level 1: Fair value is derived from quoted prices (unadjusted) in active markets for identical instruments.

Level 2: Fair value is derived through the use of valuation techniques based on observable inputs, either directly or indirectly.

Level 3: Fair value is derived through the use of valuation techniques using inputs not based on observable market data.

The Group has no financial instruments measured at fair value categorised as Level 1. There were no transfers between categories in the current year.

Notes to the summarised Group financial statements continued

for the year ended 30 September

Rm	2024	2023
7. Debt		
Long-term debt	**5 505**	6 057
Short-term debt	**1 603**	1 249
Total debt	**7 108**	7 306
Comprising:		
Unsecured liabilities		
Bank loans	**5 876**	4 888
Promissory notes and commercial paper in issue	**1 227**	2 414
Other	**5**	4
	7 108	7 306

Maturity Profile[1]

Rm	Total	<1 year	1 – 2 years	2 – 3 years	3 – 4 years	>4 years
30 September 2024	**8 853**	**2 168**	**990**	**2 282**	**1 809**	**1 604**
30 September 2023	9 022	1 828	2 017	2 505	1 300	1 372

1. *This maturity analysis includes the contractual undiscounted cash flows, represented by gross commitments, including finance charges. These amounts are different to those reflected in the statement of financial position, which are based on discounted cash flows*

Notes to the summarised Group financial statements continued

for the year ended 30 September

	Rm	2024	2023
8.	**Commitments**		
	Capital expenditure commitments	**1 645**	1 560
	Authorised and contracted for		
	Land and buildings	**300**	260
	Computer equipment	**14**	9
	Plant and equipment	**41**	21
	Medical equipment	**43**	129
	Other (including furniture and fittings)	**2**	—
	Authorised but not yet contracted for		
	Land and buildings	**829**	755
	Plant and equipment	**95**	145
	Computer equipment	**236**	104
	Medical equipment	**63**	97
	Other (including furniture and fittings)	**22**	40

	Rm	2024	2023
9.	**Contingent liabilities**		
	Guarantees in favour of municipalities and other beneficiaries	**27**	29

Notes to the summarised Group financial statements continued

for the year ended 30 September

10. Going concern

The directors have reviewed the Group and Company budget and cash flow forecasts and have satisfied themselves that the Group and Company are in a sound financial position and that they have access to sufficient borrowing facilities to meet their foreseeable cash requirements.

On the basis of this review, the Netcare directors have concluded that there is a reasonable expectation that the Group will continue to meet its financial covenants and its obligations as they fall due for at least the next 12 months from the date of approval of these financial statements. The directors consider it appropriate to adopt the going concern basis in preparing the Group and Company annual financial statements.

11. Significant transactions

Impairment of properties

In the current period, certain properties have been impaired to their recoverable amount. As such, net impairments of R38 million (2023: R125 million) were recognised.

12. Events after the reporting period

Shareholders are advised that an ordinary dividend of 40.0 cents per share was declared by the Board of Netcare Limited on 21 November 2024.

The directors are not aware of any other matters or circumstances arising since the end of the financial year, not otherwise dealt with in the Company's annual financial statements, which significantly affect the financial position at 30 September 2024 or the results of its operations or cash flows for the year then ended.

Salient features

	2024	2023
Share statistics		
Ordinary shares		
Shares in issue (million)	**1 418**	1 439
Shares in issue net of treasury shares (million)	**1 249**	1 305
Weighted average number of shares (million)	**1 279**	1 330
Diluted weighted average number of shares (million)	**1 298**	1 345
Market price per share (cents)	**1 541**	1 350

Corporate information

Netcare Limited

Registration number: 1996/008242/06
(Incorporated in the Republic of South Africa)
JSE ordinary share code: NTC
ISIN: ZAE000011953
JSE preference share code: NTCP
ISIN: ZAE000081121
A2X share code: NTC
Listed on the JSE and the A2X Exchanges
("Netcare" or "the Company" or "the Group")

Registered office

76 Maude Street (corner West Street),
Sandton 2196, Private Bag X34
Benmore, 2010

Executive directors

RH Friedland (Chief Executive Officer),
KN Gibson (Chief Financial Officer)

Non-executive directors

A Maditse (Lead Independent Director), B Bulo,
L Human, I Kirk, R Phillips, L Stephens

Company Secretary

CM Vikisi

Sponsor

Nedbank Corporate and Investment Banking,
a division of Nedbank Limited
135 Rivonia Road
Sandown, 2196

Transfer secretaries

CTSE Registry Services
Cape Town Stock Exchange
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Investor relations

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Disclaimer

Certain statements in this document constitute 'forward-looking statements'. Forward-looking statements may be identified by words such as 'believe', 'anticipate', 'expect', 'plan', 'estimate', 'intend', 'project', 'target', 'predict' and 'hope'. By their nature, forward-looking statements are inherently predictive, speculative and involve risk and uncertainty because they relate to events and depend on circumstances that will occur in the future, involve known and unknown risks, uncertainties and other facts or factors which may cause the actual results, performance or achievements of the Group, or the healthcare sector to be materially different from any results, performance or achievement expressed or implied by such forward-looking statements. Forward-looking statements are not guarantees of future performance and are based on assumptions regarding the Group's present and future business strategies and the environments in which it operates now and in the future.
No assurance can be given that forward-looking statements will prove to be correct and undue reliance should not be placed on such statements.

Any forward-looking information contained in this announcement/presentation has been audited and reported on by the company's external auditors.

Forward-looking statements apply only as of the date on which they are made, and Netcare does not undertake other than in terms of the Listings Requirements of the JSE Limited, to update or revise any statement, whether as a result of new information, future events or otherwise.

The normalised information has been prepared for illustrative purposes only, which is the responsibility of the directors. It has not been reviewed or reported on by the auditors because of its nature, and may not fairly represent Netcare's financial position, changes in equity, results of operations or cash flows.

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